Massachusetts (:)

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THE ONE-LINE VERDICT

September 2026 was a tale of two channels: a labour strike at Encore Boston Harbor cut Massachusetts casino GGR 13.6% YoY to $82.69M (Encore -22.1%), while a hold-driven rebound lifted taxable sports wagering revenue 36.0% to $71.19M on handle that was actually 3.4% lower. Combined casino-plus-sports taxable revenue still edged up 4.0% to $153.88M and state tax 1.6% to $38.41M, but the real structural story of the month sits outside the MGC's remit — the Treasurer's two-month-old iLottery took $183M of online sales and the Legislature has shelved commercial iGaming until at least 2027-28, leaving a closed, duopoly-dominated sports market under a live 51%-tax threat as the only regulated online channel.

CASINO GGR (SEP-26, 3 PROPERTIES)	SPORTS HANDLE (WAGERS SETTLED)	TAXABLE SPORTS WAGERING REVENUE	STATE GAMING TAX (CASINO + SPORTS)	ONLINE SHARE OF SPORTS HANDLE	LOTTERY SALES INCL. ONLINE (SEP-26)
$82.69M	**$772.9M**	**$71.19M**	**$38.41M**	**99.1%**	**$601.2M**
-13.6% YoY / -18.9% MoM	-3.4% YoY / +35.3% MoM	+36.0% YoY (hold 9.39% vs 6.5%)	+1.6% YoY	+0.5pt YoY (98.6%)	+27.0% YoY; online $183M

1 EXECUTIVE SUMMARY

- **Combined regulated casino + sports taxable revenue rose 4.0% YoY to $153.88M in September 2026 and state tax 1.6% to $38.41M** (MGC Revenue Report) — a strike-driven casino decline (-$13.0M) was more than offset by a hold-driven sports rebound (+$18.8M). Secondary outlets rounding the casino figure to $83.1M (-14%) and sports growth to +34% differ slightly from the regulator's $82.69M (-13.6%) and +36.0%; we use the MGC figures.
- **Land-based casino GGR fell 13.6% YoY to $82.69M** (tables $22.58M / slots $60.11M; -18.9% MoM): Encore Boston Harbor $46.06M (-22.1%), MGM Springfield $21.98M (-1.2%), Plainridge Park Casino $14.65M (+2.4%). Casino tax collected $24.19M (-11.6%). Encore's September was its lowest GGR month since February 2021.
- **The Encore strike is the one-off driver**: roughly 1,300–1,350 UNITE HERE Local 26 and Teamsters Local 25 workers walked out on 4 Sep 2026 after contracts expired 31 Aug (demands include +$10/hr over four years and a $25/hr base). Slot coin-in at Encore fell 20.3% to $354.4M while MGM (+4.7%) and PPC (+4.2%) grew; Encore's tax remittance of $11.5M (vs $14.8M) was the lowest in 5.5 years. The MGC chair publicly urged settlement; the strike was still running in late October, so the October report will carry a full-month hit.
- **Sports betting: handle $772.9M (-3.4% YoY, +35.3% MoM on the NFL start), taxable revenue $71.19M (+36.0%), tax $14.22M (+36.1%)** on an MGC-reported hold of 9.39% versus roughly 6.5% in a bettor-friendly September 2025. Versus September 2024 handle is +13.9% but taxable revenue -3.2% — the market's revenue line is being driven by hold/parlay mix, not volume growth.
- **Online is effectively the whole sports market**: online handle $766.0M (99.1% of total) and online taxable revenue $70.86M (99.5%). Retail handle across the three casino sportsbooks fell 37.7% to $6.92M and produced $0.33M of taxable revenue (5.89% hold); no Category 2 racetrack sportsbook is reporting.
- **A DraftKings/FanDuel duopoly controls ~77% of the market**: DraftKings $389.4M handle (50.8% of online) / $33.1M taxable revenue (46.7%); FanDuel $199.2M (26.0%) / $21.9M (30.9%, on an 11.21% hold). Fanatics is a distant third ($75.2M, 9.8%), then BetMGM 7.4%, Caesars 3.1%, theScore Bet 2.4%, Bally Bet 0.5%. CY2026 YTD the two leaders hold 75.3% of online handle and 79.5% of taxable revenue.
- **Year-to-date and trailing scale (MGC data)**: CY2026 Jan–Sep sports handle $5.99bn, taxable revenue $611.4M (10.2% hold), tax $122.0M; casino GGR $879.8M, tax $252.6M. Trailing twelve months (Oct-25–Sep-26): casino GGR $1.17bn, sports handle $8.65bn, taxable sports revenue $876.2M, combined tax $511M.
- **Cumulative fiscal contribution is large and politically salient**: ~$2.55bn in casino taxes/assessments since PPC opened (2015) and ~$514.6M in sports wagering taxes since retail launch (31 Jan 2023) / online launch (10 Mar 2023). Commissioner Brodeur framed the Encore shortfall in 'teachers and MassHealth' terms — the Commonwealth is a revenue-dependent stakeholder.
- **Tax regime is GGR-based and transparent, with no promotional deductions**: Category 1 resort casinos 25% of GGR; Category 2 slots parlour (PPC) 49% of GGR (82% to Local Aid, 18% to the Race Horse Development Fund); sports wagering 15% (retail Cat 1/2) and 20% (mobile Cat 3) of adjusted gross receipts (gross receipts less winnings paid and the 0.25% federal excise; negative months carried forward); DFS 15% of net adjusted fantasy receipts ($0.25M in September on $11.48M gross entry fees).
- **Licensing is a closed system**: three casino licences (two Cat 1 resorts at an $85M fee, one Cat 2 slots parlour at $25M — per M.G.L. c.23K, not re-read today); the Region C licence has never been awarded. Sports wagering (c.23N): Cat 1 casinos (retail plus up to two mobile skins), Cat 2 tracks/simulcast, Cat 3 untethered mobile capped at seven with a $5M five-year fee — all seven Cat 3 positions are occupied (Bally Bet, BetMGM, Caesars, DraftKings, Fanatics, FanDuel, theScore Bet).
- **The Lottery remains the largest gambling pool in the state**: FY2026 (Jul-25–Jun-26) sales $5.904bn (-1.1%), record prizes $4.379bn (74.19% payout), net profit $1.045bn (-$22M, sixth straight $1bn+ year), Keno record $1.288bn, scratch $3.808bn (down >$145M), retailer commissions $337.1M. On a sales-less-prizes basis that is ~$1.5bn of gross win — larger than casinos and sports combined.
- **Mass Lottery Online (launched 27 Jul 2026 on Aristocrat Interactive, 21+, geolocated) is the de facto online casino**: $1.6M on day one, $110M in 26 days, $139.4M in August ($137M of it eInstants), $183M in September; combined September Lottery sales $601.2M (+27%) with retail down $54.8M; FY2027 Q1 combined $1.72bn (+16.3%), online $322.4M; ~$500M online by late October against a $1.2bn year-one plan. September online net profit $14M versus a $12.6M retail profit decline — cannibalisation is already visible.
- **Commercial iGaming is off the table until 2027-28**: H.4431 (Rep. Muradian; would have created a new c.23O licensing existing casino operators) was sent to 'study' on 16 Mar 2026, effectively killing it; the

sponsor intends to refile next session. The Lottery's eInstant success strengthens the Treasurer's hand against a commercial carve-out.

- **Sports betting faces a live tax-and-product threat**: the 'Bettor Health Act' (S.302, Sen. Keenan) cleared the Joint Committee on Economic Development 5-0 on 9 Mar 2026 and went to Senate Ways & Means — 51% mobile tax (from 20%), bans on prop and in-play bets, no ads during televised games, affordability checks, daily/monthly limits, doubled Public Health Trust contributions. No floor vote was reported before formal sessions ended 31 Jul 2026 [final status unverified]; operators led by DraftKings are funding statehouse races ahead of a 2027 refile.
- **Massachusetts is the lead jurisdiction against sports prediction markets**: on 20 Jan 2026 a Superior Court judge, on AG Campbell's suit, ordered Kalshi to stop offering sports event contracts in the state; Kalshi is appealing and 38 attorneys general filed in support of Massachusetts (Apr 2026). This protects licensed books' share but keeps the channel fight in the courts.
- **Responsible gambling and advertising rules are strict and tightening**: 21+ for sports wagering and online lottery; 9% of sports tax ($1.28M in September) and a slice of casino tax feed the Public Health Trust Fund; MGC advertising regulation (205 CMR 256) bars under-21 targeting, 'risk-free' language and volume-linked affiliate compensation [regulatory detail not re-read today]; the MGC launched a 'Bet on Respect' initiative on 31 Aug 2026 to curb bettor harassment of athletes.
- **Payments**: sports accounts cannot be funded by credit card under c.23N [not re-verified today]; funding is debit/ACH/e-wallet; the Lottery's online product is 21+ and geofenced. There is no mobile-money or alternative-rail story here — the friction points are ID/KYC, geolocation and the credit-card ban.
- **Read-through for an operator**: B2C entry into online sports is effectively closed (Cat 3 cap full, 77% duopoly, 20% tax with no promo deductions, a 51% proposal in the wings); land-based is closed; commercial iGaming is at least two sessions away and the Lottery is pre-empting it. Realistic routes are B2B — eInstant content/platform supply to the Lottery (new titles every two weeks), sportsbook/casino technology to incumbents — a tethered skin through a Cat 1/Cat 2 partner, or acquisition of a sub-scale Cat 3 licensee (Bally Bet 0.5%, theScore 2.4%, Caesars 3.1% of handle).

2 MARKET SUMMARY

US$M (MGC DATA UNLESS STATED)	SEP-26	MOM	YOY	CY26 YTD (JAN–SEP)	TTM (OCT-25–SEP-26)
LAND-BASED CASINOS — GGR (GROSS OF TAX)					
Encore Boston Harbor (Cat 1, Wynn)	46.06	-26.7%	-22.1%	529.2	708.3
MGM Springfield (Cat 1, MGM)	21.98	-8.0%	-1.2%	214.6	285.1
Plainridge Park Casino (Cat 2 slots, Penn)	14.65	-3.4%	+2.4%	136.0	179.9
Total casino GGR	**82.69**	**-18.9%**	**-13.6%**	**879.8**	**1,173.3**
of which slots / tables	60.11 / 22.58	n/a	n/a	n/a	n/a
Casino tax collected (25% Cat 1 / 49% Cat 2 of GGR)	24.19	-16.9%	-11.6%	252.6	336.5
SPORTS WAGERING					
Handle (wagers settled) — total	772.9	+35.3%	-3.4%	5,994.3	8,646.4
Handle — online (7 Cat 3 operators)	766.0	+35.2%	-3.0%	5,927.0	8,542.0
Handle — retail (3 casino books)	6.92	+43.3%	-37.7%	67.3	104.4
Taxable sports wagering revenue (TSWR) — total	**71.19**	**+51.2%**	**+36.0%**	**611.4**	**876.2**
TSWR — online	70.86	+51.9%	+36.4%	606.2	867.9
TSWR — retail	0.33	-25.7%	-15.8%	5.22	8.21
Hold % (MGC: accrual win / handle; YTD & TTM = TSWR / handle)	9.39%	8.2% (Aug)	6.5% (Sep-25)	10.2%	10.1%
Sports tax collected (15% retail / 20% online)	14.22	+51.4%	+36.1%	122.0	174.8
Online share of handle / TSWR	99.1% / 99.5%	n/a	98.6% / 99.3% (Sep-25)	98.9% / 99.1%	98.8% / 99.1%
DAILY FANTASY SPORTS (15% OF NET ADJUSTED RECEIPTS)					
Gross fantasy entry fees / net adjusted receipts / tax	11.48 / 1.66 / 0.25	n/a	n/a	n/a	n/a
COMBINED MGC-REGULATED MARKET					
Total taxable gaming revenue (casino GGR + TSWR)	**153.88**	**+3.3%**	**+4.0%**	**1,491.2**	**2,049.5**
Total taxes collected	**38.41**	**-0.3%**	**+1.6%**	**374.6**	**511.3**
Cumulative taxes: casino since 2015 / sports since 2023	~2,550 / ~514.6	–	–	–	–
MASSACHUSETTS STATE LOTTERY (SALES = TURNOVER, NOT GGR; FY JUL–JUN)					
Lottery sales — combined retail + online	601.2	n/a	+27.0%	1,720 (FY27 Q1, +16.3%)	5,904 (FY26, -1.1%)
Lottery sales — online (launched 27 Jul 2026)	183.0	+31% (Aug 139.4)	n/m	322.4 (FY27 Q1)	n/a
Lottery net profit (retail 57.9 + online 14.0)	~71.9	n/a	+$1.4M	n/a	1,045 (FY26, -$22M)
TAX REGIME (BASE = GGR / ADJUSTED GROSS RECEIPTS; NO PROMO DEDUCTIONS)					
Cat 1 resort casino / Cat 2 slots parlour	25% / 49% of GGR	–	unchanged	–	–
Sports retail (Cat 1 & 2) / mobile (Cat 3)	15% / 20% of TSWR	–	unchanged; S.302 proposes 51% mobile	–	–
LICENCES & FEES (C.23K / C.23N; FEES NOT RE-VERIFIED TODAY)					
Casino licences: Cat 1 ($85M fee) / Cat 2 ($25M fee)	2 / 1 (Region C unawarded)	–	–	–	–
Sports: Cat 1 retail / Cat 2 track / Cat 3 mobile ($5M per 5 yrs; cap 7)	3 live / 0 live / 7 of 7	–	–	–	–

3 DEEP-DIVE — SPORTS BETTING (ONLINE & RETAIL)

Handle slipped 3.4% YoY to $772.9M but a 9.39% hold drove taxable revenue +36.0% to $71.19M; DraftKings and FanDuel took 77% of the month, and the only open policy question is whether the 20% rate survives 2027.

HANDLE AND HOLD

Handle slipped 3.4% YoY to $772.9M but a 9.39% hold drove taxable revenue +36.0% to $71.19M; revenue growth is a hold story.

- September lifted handle 35.3% from August's $571.2M to $772.9M, yet YoY was -3.4% against $800.5M; second consecutive autumn without growth.
- Against September 2024 ($678.8M) handle is up 13.9%, but taxable revenue of $71.19M is 3.2% below the $73.5M earned two years ago.
- MGC accrual-win hold was 9.39% (9.42% online) versus roughly 6.5% in a bettor-friendly September 2025.
- Calendar-2026 taxable hold is running at 10.2% on $5.99bn of handle.
- Structural hold of 9–10%, driven by same-game-parlay mix, is the base case; monthly revenue will swing 30–50% around it.

MARKET STRUCTURE

DraftKings and FanDuel took 76.8% of September handle and 77.6% of taxable revenue; all seven Category 3 licences are occupied.

- DraftKings settled $389.4M (50.8% of online handle, -4.9% YoY), $33.1M taxable revenue (46.7%) on 8.75% hold.
- FanDuel settled $199.2M (26.0%, +3.4%) at 11.21% hold into $21.9M (30.9%); leaders hold 75.3%/79.5% year-to-date.
- Fanatics $75.2M (9.8%, -9.6% YoY) with $6.76M taxable revenue, more than double a year ago; BetMGM +10.7% to $56.8M (7.4%).
- Caesars ($23.4M, 3.1%), theScore Bet ($18.0M, 2.4%, -24.7%) and Bally Bet ($3.8M, 0.5%) are sub-scale.
- Entry means a tethered skin through a Category 1 casino (up to two each) or Category 2 track, or buying an incumbent; three smallest hold under 6%.

RETAIL SPORTS BETTING

Retail is commercially irrelevant and shrinking: $6.92M handle (-37.7% YoY) and $0.33M taxable revenue; online is 99.1% of handle.

- Encore $2.87M, PPC $3.29M, MGM $0.76M; 5.89% hold; $48,873 of tax paid.
- MGM Springfield's book reported zero taxable revenue in several months because of carried-forward negative results.
- Online is 99.5% of taxable revenue; Category 2 (Raynham Park, Suffolk Downs) has no reporting operator; Encore strike removed retail footfall.
- The mobile skin, not the retail book, is the only asset of value in a Massachusetts sports wagering licence.

TAX TAKE

September's $14.22M tax (+36.1% YoY) makes sports betting the state's fastest-growing gambling revenue line and political centre of gravity.

- Allocated 45% General Fund ($6.40M), 27.5% Gaming Local Aid ($3.91M), 17.5% Workforce Investment Trust ($2.49M), 9% Public Health Trust ($1.28M), 1% Youth Development ($0.14M).
- Cumulative take since launch approximately $514.6M; trailing-twelve-month $174.8M on $876.2M of taxable revenue.
- Base is gross receipts less winnings and 0.25% federal excise, with no promo deduction, making the effective rate materially higher than comparable 20% states.
- Negative months are carried forward against future liability rather than refunded.

POLICY DIRECTION

Policy is restrictive: S.302 would lift the mobile rate from 20% to 51% and ban prop and in-play wagers, with a refile signalled.

- Bettor Health Act (S.302) cleared the Joint Committee 5-0 on 9 March 2026 and was referred to Senate Ways & Means.
- Also: ad ban during televised games, affordability checks, daily/monthly limits, doubled Public Health Trust contributions; no floor vote reported before 31 July 2026, status unverified.
- WBUR reported in May that DraftKings and other books were targeting statehouse races in response.
- MGC's 31 August 2026 'Bet on Respect' initiative adds compliance; AG's January 2026 order against Kalshi (backed by 38 AGs in April) removes an untaxed competitor pending appeal.
- Entrant equation: 20% on gross with no promo relief, 77% share concentration, flat volume, non-trivial probability of 51% rate and product ban within two sessions.

US$M — SEPTEMBER 2026 BY OPERATOR (MGC)	HANDLE SEP-26	HANDLE YOY	TSWR SEP-26	TSWR YOY	HOLD % (MGC)	TAX SEP-26	SHARE OF ONLINE HANDLE / TSWR
ONLINE (CATEGORY 3, TAXED AT 20%)							
DraftKings	389.44	-4.9%	33.11	+26.9%	8.75%	6.62	50.8% / 46.7%
FanDuel	199.24	+3.4%	21.87	+37.1%	11.21%	4.37	26.0% / 30.9%
Fanatics	75.19	-9.6%	6.76	+117.1%	8.51%	1.35	9.8% / 9.5%
BetMGM	56.84	+10.7%	5.39	+30.8%	9.73%	1.08	7.4% / 7.6%
Caesars Sportsbook	23.43	-4.7%	1.43	+32.9%	6.35%	0.29	3.1% / 2.0%
theScore Bet	18.04	-24.7%	1.93	+42.3%	10.92%	0.39	2.4% / 2.7%
Bally Bet	3.82	-6.5%	0.39	+48.3%	10.38%	0.08	0.5% / 0.5%
Total online	**765.99**	**-3.0%**	**70.86**	**+36.4%**	**9.42%**	**14.17**	**100% / 100%**
RETAIL (CATEGORY 1, TAXED AT 15%)							
Encore Boston Harbor	2.87	-43.7%	0.09	-57.6%	3.52%	0.01	–
Plainridge Park Casino	3.29	-31.9%	0.17	-0.0%	5.29%	0.02	–
MGM Springfield	0.76	-35.2%	0.07	n/m (0 in Sep-25)	17.38%	0.01	–
Total retail	**6.92**	**-37.7%**	**0.33**	**-15.8%**	**5.89%**	**0.05**	**0.9% / 0.5% of total**
Total sports wagering	**772.92**	**-3.4%**	**71.19**	**+36.0%**	**9.39%**	**14.22**	**–**
MONTHLY TREND (TOTAL HANDLE / TSWR / TAX)							
Aug-26	571.24	–	47.09	–	8.2%*	9.40	–
Jul-26	592.62	–	65.56	–	11.1%*	13.09	–
Jun-26	615.06	–	54.32	–	8.8%*	10.83	–
Jan-26 (peak CY26 month)	812.98	–	79.36	–	9.8%*	15.86	–
Nov-25 (TTM peak handle)	914.67	–	94.94	–	10.4%*	18.94	–
Sep-25 / Sep-24 comparators *Trend-row hold = TSWR / handle (taxable basis), not MGC accrual-win hold.	800.46 / 678.76	–	52.34 / 73.51	–	6.5% / 10.8%*	10.45 / 14.64	–

4 DEEP-DIVE — LAND-BASED CASINOS (CATEGORY 1 & 2)

GGR -13.6% YoY to $82.69M on a 22.1% collapse at Encore Boston Harbor during the first month of a strike; MGM Springfield and Plainridge were flat-to-up, and the system remains a closed three-licence market with no Region C and no online casino.

MARKET STRUCTURE

Massachusetts is a closed three-licence casino market with no Region C and no online casino; trailing-twelve-month GGR $1,173M and tax $336M.

- Two Category 1 resorts — Encore Boston Harbor (Wynn, opened June 2019) and MGM Springfield (August 2018) — and Category 2 Plainridge Park (Penn, June 2015).
- Region C Category 1 licence never awarded; tribal First Light project is the only theoretical fourth venue.
- Category 1 licences carried $85M fee and $500M minimum capital commitment; Category 2 $25M fee and 1,250-machine cap (statutory terms not re-read).
- Cumulative taxes and assessments since 2015 approximately $2.55bn.

ENCORE STRIKE

September GGR of $82.69M (-13.6% YoY, -18.9% MoM) is the weakest month in the series and the entire shortfall is Encore.

- Every other month October 2025 to August 2026 sat between $92.0M and $107.8M.
- Encore GGR fell to $46.06M from $59.13M (-22.1% YoY, -26.7% MoM): tables $19.15M, slots $26.92M; slot coin-in -20.3% to $354.4M from $444.4M.
- Strike began 4 September with roughly 1,300–1,350 UNITE HERE Local 26 and Teamsters Local 25 members after contracts expired 31 August.
- Unions seek $10/hour increases over four years and $25/hour starting wage plus healthcare and pension guarantees; Wynn says it tabled a 'significant economic proposal'.
- IEB reported company-operated restaurants closed, bars reduced, managers covering slot and cage roles; Encore share of state casino GGR fell to 55.7% from 61.8%.

MGM AND PLAINRIDGE

The other two properties show the underlying market is stable rather than growing; CY2026 GGR could fall to $1.14–1.16bn.

- MGM Springfield $21.98M (-1.2% YoY; tables $3.44M, slots $18.54M); Plainridge $14.65M (+2.4%; slots only); coin-in up 4.7% and 4.2%.
- No evidence of spill-over from Everett to Springfield; diversion more likely leaking to Connecticut tribal resorts and Rhode Island.
- Calendar-2026 YTD GGR $879.8M tracks below the $1,173M trailing run-rate.
- Full October of strike disruption implies CY2026 GGR of $1.14–1.16bn (analyst estimate), first annual decline since the pandemic.

TAX MECHANICS

Encore paid $11.52M in September, the lowest remittance in 5.5 years, yet still supplied 47.6% of casino tax.

- Category 1 GGR taxed at 25% across statutory funds; Plainridge's 49% split 82% Local Aid ($5.89M) and 18% Race Horse Development Fund ($1.29M).
- Encore's $11.52M compares with $14.78M a year earlier and more than $4M less than August.
- Chair Jordan Maynard and Commissioner Paul Brodeur used the 22 October meeting to call for a settlement.
- Commission leverage is reputational and via oversight of Encore's quarterly reporting (Q2 2026 report on 8 October agenda), not direct intervention.

OPERATOR IMPLICATION

The land-based segment is not an entry opportunity but a signal: capacity is fixed and ~$336M of annual tax creates a protective constituency.

- Casino licensees are the only parties with a statutory route into any future online casino under the shelved c.23O draft.
- A prolonged Wynn dispute weakens the argument that iGaming cannibalises property jobs and strengthens the Treasurer's claim that Lottery eInstants serve online demand.

US$M — SEPTEMBER 2026 BY PROPERTY (MGC)	SEP-26 GGR	MOM	YOY	TABLES / SLOTS	TAX SEP-26	TAX YOY	SHARE OF GGR
Encore Boston Harbor (Cat 1, 25%)	46.06	-26.7%	-22.1%	19.15 / 26.92	11.52	-22.1%	55.7% (61.8% Sep-25)
MGM Springfield (Cat 1, 25%)	21.98	-8.0%	-1.2%	3.44 / 18.54	5.49	-1.2%	26.6%
Plainridge Park Casino (Cat 2, 49%)	14.65	-3.4%	+2.4%	n/a / 14.65	7.18	+2.4%	17.7%
Total	**82.69**	**-18.9%**	**-13.6%**	**22.58 / 60.11**	**24.19**	**-11.6%**	**100%**
HISTORICAL SEPTEMBER COMPARATORS (TOTAL GGR / TAX)							
Sep-25	95.69	–	–	–	27.36	–	–
Sep-24	92.07	–	–	–	26.24	–	–
Sep-23	93.81	–	–	–	26.60	–	–
Sep-20 (pandemic)	70.54	–	–	–	20.02	–	–
RUN-RATES							
CY26 YTD Jan–Sep (GGR / tax)	879.8	–	–	–	252.6	–	–
TTM Oct-25–Sep-26 (GGR / tax)	1,173.3	–	–	–	336.5	–	–
Best month in series (Mar-26)	107.76	–	–	–	30.88	–	–
Encore slot coin-in (GBH / MGC IEB)	354.4	–	-20.3% (444.4)	–	–	–	–

5 DEEP-DIVE — LOTTERY & ILOTTERY (RETAIL & LOTTERY)

The State Lottery is the largest gambling pool in Massachusetts (FY26 sales $5.9bn, profit $1.045bn) and its July 2026 online launch — $183M of September sales, almost all eInstants — has become the state's de facto online casino and the main obstacle to commercial iGaming.

FY2026 RESULTS

The State Lottery is the largest gambling pool in Massachusetts: FY26 sales $5.904bn (-1.1%), net profit estimated $1.045bn, sixth consecutive year above $1bn.

- Record $4.379bn paid in prizes (74.19% payout); retailer commissions and bonuses $337.1M; profit $22M lower than FY2025.
- Keno set a record at $1.288bn; scratch tickets, roughly two-thirds of sales, fell by more than $145M to $3.808bn.
- Gross win approximately $1.5bn a year — larger than the $1.17bn casino and $0.88bn sports markets combined; profit distributed as unrestricted local aid.
- Figures are sales (turnover), not GGR, and FY2026 numbers are estimates pending finalisation.

ONLINE LAUNCH

Mass Lottery Online launched 27 July 2026 and produced $183M of September sales, with cumulative sales roughly $500M against a $1.2bn first-year plan.

- Aristocrat Interactive platform (five-year contract, three-year extension option); 21+, geofenced; draw games plus 20+ eInstants, new titles fortnightly, virtual horse racing approved for October.
- $1.63M wagered in first 24 hours; $100M passed in 26 days, claimed as the fastest US iLottery ramp.
- 160,000 of ~550,000 app users migrated and 49,000 first-time depositors by late August.
- August produced $139.4M online sales ($137M eInstants) and estimated $10.6M profit (nearer $8M after bills); September $183M sales and $14M net profit.

RETAIL CANNIBALISATION

Cannibalisation is measurable: September combined sales $601.2M (+27%) but retail fell $54.8M and total profit rose only $1.4M.

- Scratch sales down 7.3% in the month and 6% fiscal year to date; retail net profit fell $12.6M to $57.9M.
- FY2027 Q1 combined sales $1.72bn (+16.3%; online $322.4M, retail -$81.2M); profit about $11.8M ahead of plan.
- Treasurer guides to no profit growth in FY2027; new retail product includes scented holiday tickets from 6 October and Walmart as agent.
- National anti-gambling groups criticised eInstant design; the Lottery Commission did not engage at its September meeting.

OPERATOR IMPLICATION

eInstants are the only open online casino-style market, and each $150–200M online month hardens the case against commercial iGaming before 2027-28.

- Aristocrat holds the platform but titles are sourced from multiple providers fortnightly, making content supply and platform competition at renewal a realistic B2B route.
- Rep. Muradian's iGaming bill (H.4431) sent to study March 2026; Treasurer reported as opposing commercial iGaming while targeting ~$70M online lottery profit.
- A commercial iGaming licence should not be modelled before a 2027-28 cycle, with launch no earlier than 2028-29 even optimistically.

DAILY FANTASY SPORTS

September DFS gross entry fees were $11.48M, net adjusted receipts $1.66M (14.5% take) and tax at 15% was $0.25M.

- A rounding error in state terms, but fully inside the regulated and taxed perimeter via MGC monthly reporting.
- Contrasts with sweepstakes and prediction-market products, which the state is actively litigating against.

US$M — MASSACHUSETTS STATE LOTTERY (SALES = TURNOVER; LOTTERY COMMISSION FIGURES VIA SHNS/WBUR/PGRI)	SEP-26	YOY	FY27 Q1 (JUL–SEP 26)	FY26 (JUL-25–JUN-26)	FY26 YOY
Combined sales (retail + online)	**601.2**	**+27.0% (+$128.2M)**	**1,720 (+16.3%)**	**5,904**	**-1.1%**
Online sales (launched 27 Jul 2026)	183.0	n/m	322.4	n/a	n/a
Retail sales change	-54.8 vs Sep-25	–	-81.2 vs FY26 Q1	n/a	n/a
Online share of sales	30.4%	–	18.7%	0%	–
August online sales / of which eInstants	139.4 / 137.0 (Aug)	–	–	–	–
Net profit — retail / online / total	57.9 / 14.0 / ~71.9	-12.6 / +14.0 / +1.4	n/a (profit ~+$11.8M vs pace)	1,045	-$22M
Prizes paid / payout %	n/a	–	n/a	4,379 / 74.19%	record
Keno sales	n/a	–	n/a	1,288	+0.2% (record)
Scratch ticket sales	-7.3% YoY	–	-6% YoY	3,808	-$145M+
Retailer commissions & bonuses	n/a	–	n/a	337.1	n/a
Online: day-one / first 26 days / cumulative to late Oct	1.63 / 110 / ~500	–	–	–	year-1 plan 1,200
DFS (MGC): gross entry fees / net adjusted receipts / 15% tax	11.48 / 1.66 / 0.25	n/a	n/a	n/a	n/a

6 DEEP-DIVE — LICENSING & TAX REGIME

A closed, GGR-taxed system — three casino licences, seven capped mobile sports licences at 20% with no promo deductions, DFS at 15% — that is stable in law today but carries a 51% mobile-tax proposal and an iGaming framework that has been drafted and parked.

REGULATOR

The five-member Massachusetts Gaming Commission (Chair Jordan Maynard) regulates casinos, sports wagering, DFS reporting and racing; the Lottery sits under the Treasurer.

- Created by Chapter 194 of the Acts of 2011 (M.G.L. c.23K); sports jurisdiction via Chapter 173 of the Acts of 2022 (M.G.L. c.23N, signed August 2022).
- MGC publishes operator-level monthly revenue and tax data within three weeks of month-end, among the most transparent US markets.

CASINO LICENSING

Casinos are capped at three Category 1 and one Category 2 licences; GGR taxed at 25% and 49% yielded $24.19M in September, $336.5M trailing twelve months.

- Category 1: $85M fee, $500M minimum investment, 15-year term; Category 2: $25M fee, 1,250-machine cap, five-year terms (Plainridge renewed twice); terms not re-read.
- Regions A and B and Category 2 in use; Region C never awarded, Mashpee Wampanoag Taunton project unrealised.
- Category 2's 49% split 82% Local Aid / 18% Race Horse Development Fund.

SPORTS WAGERING LICENSING

All seven Category 3 mobile licences are filled; mobile taxed at 20% and retail 15% with no promo deduction, yielding $14.22M in September.

- Category 1 casinos: retail book plus up to two tethered mobile platforms; Category 2 tracks: retail plus one mobile; Category 3 untethered mobile capped at seven.
- Each licence $5M for five years with $5M renewal (not re-read); first Category 3 licences from early 2023 renew around 2028.
- Category 3 holders: Bally Bet, BetMGM, Caesars, DraftKings, Fanatics, FanDuel, theScore Bet; three Category 1 retail books live, no Category 2 reporting.
- Trailing twelve months $174.8M; cumulative since launch approximately $514.6M; allocation 45%/27.5%/17.5%/9%/1% fixed by statute.

DFS AND LOTTERY

DFS is taxed at 15% of net adjusted receipts ($0.25M in September on $11.48M fees); online lottery pays no gaming tax.

- Online lottery is a Treasury product with profit directed to early childhood education and care grants.
- This is one reason the Legislature chose it over a commercial iGaming licence class.

PENDING FRAMEWORK CHANGES

H.4431 iGaming was sent to study and S.302's 51% mobile tax advanced 5-0; the entrant should price the restrictive scenario at a meaningful probability.

- H.4431 (Rep. Muradian) would create chapter 23O licensing casino operators for online slots and tables; committee voted unanimously 16 March 2026 to study; refile planned for 2027-28.
- S.302 (Sen. Keenan) cleared committee 9 March 2026, referred to Senate Ways & Means: 51% mobile tax, prop and in-play ban, TV ad ban, affordability checks, deposit limits, doubled public-health contributions.
- No reported floor vote before 31 July end of formal sessions (status unverified); neither bill changes the 2026 regime.
- Range for 2027-28: casino-tethered iGaming at one end, halved-margin sports market with banned bet types at the other.
- Sponsor has apologised publicly for his 2022 vote to legalise sports betting and the committee vote was unanimous.

REGIME SUMMARY (MGC SEPT-26 REPORT AND PRESS RELEASE; STATUTORY FEE TERMS PER C.23K/C.23N AS KNOWN, NOT RE-READ TODAY)	LICENCE / PRODUCT	FEE & TERM	TAX BASE & RATE	LICENSEES (SEP-26)	SEP-26 TAX / CUMULATIVE
Category 1 resort casino	$85M; 15-yr initial term; $500M min. investment	25% of GGR (slots + tables)	2: Encore Boston Harbor (Wynn), MGM Springfield (MGM); Region C unawarded	$17.01M / casino total ~$2.55bn since 2015	
Category 2 slots parlour	$25M; 5-yr term; ≤1,250 machines	49% of GGR (82% Local Aid / 18% RHDF)	1: Plainridge Park Casino (Penn)	$7.18M	
Sports — Category 1 (casino retail + ≤2 mobile skins)	$5M per 5 yrs	15% of TSWR (retail); 20% if mobile	3 retail books live (EBH, MGM, PPC)	$0.05M / sports total ~$514.6M since 2023	
Sports — Category 2 (track / simulcast retail + 1 mobile)	$5M per 5 yrs	15% retail / 20% mobile	0 reporting (Raynham Park, Suffolk Downs not live)	n/a	
Sports — Category 3 (untethered mobile; cap 7)	$5M per 5 yrs (first renewals ~2028)	20% of TSWR; no promo deduction; negative months carried forward	7 of 7: DraftKings, FanDuel, Fanatics, BetMGM, Caesars, theScore Bet, Bally Bet	$14.17M	
Daily fantasy sports	Registration with MGC	15% of net adjusted gross fantasy receipts	Operators report via MGC (not itemised in summary)	$0.25M	
State Lottery (retail + online since 27 Jul 2026)	State-run; Aristocrat Interactive platform (5+3 yrs)	No gaming tax; net profit to Local Aid / online profit to early-childhood grants	Treasurer / Lottery Commission	Sep-26 profit ~$71.9M; FY26 $1,045M	
Pending: S.302 Bettor Health Act	–	Mobile 51% (from 20%); prop & in-play ban; TV ad ban; affordability checks	Cleared committee 5-0 on 9 Mar 2026; in Senate W&M; no floor vote reported [unverified]	–	
Pending: H.4431 iGaming (new c.23O)	Casino operators only (draft)	n/a (not enacted)	Sent to study 16 Mar 2026; refile planned 2027-28	–	
Sports tax allocation (Sep-26 $14.22M)	–	45% General Fund $6.40M; 27.5% Local Aid $3.91M; 17.5% Workforce $2.49M; 9% Public Health $1.28M; 1% Youth $0.14M	–	–	

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT

A card-based, credit-restricted, 21+ market with a regulator that publishes everything, litigates against unlicensed channels (Kalshi) and is adding behavioural obligations (athlete-harassment reporting); the direction of travel is tighter, not looser.

PAYMENTS

Payments run on conventional US rails but c.23N prohibits credit-card funding of sports accounts, so KYC, geolocation and decline rates are the variables.

- Operators rely on debit cards, ACH/online banking, PayPal-type wallets and prepaid cards, with bank-level declines on gambling merchant codes (restriction not re-verified).
- Lottery online is 21+ and geofenced, higher than the 18+ retail lottery, with its own wallet; casinos extend markers and operate ATMs under MGC rules.
- Cash remains dominant on the casino floor; the Encore strike showed dependence of slot and cage operations on unionised staff.

RESPONSIBLE GAMBLING

Responsible gambling is funded and institutionalised: 9% of sports tax ($1.28M in September, ~$15.7M trailing) plus casino tax flows to the Public Health Trust Fund.

- Funds MGC research, GameSense centres at all three casinos, PlayMyWay slot budgeting and a statewide Voluntary Self-Exclusion list.
- Minimum age 21 for casinos, sports wagering and online lottery.
- S.302 would add affordability checks and daily/monthly limits; MGC is examining limits on winning bettors and affiliate marketing.
- 'Bet on Respect' launched 31 August 2026 implies new reporting and account-action obligations (detail not reviewed).

ADVERTISING

Advertising under 205 CMR 256 is restrictive and S.302 would add a TV blackout, making customer acquisition structurally expensive for challengers.

- No marketing to under-21s or on campuses, no 'risk-free' language, mandatory 21+ and problem-gambling messaging including Fenway Park, TD Garden and Gillette Stadium signage.
- Restrictions on affiliate compensation linked to sign-up volumes (regulation not re-read).
- Constrained CPA deals, no promo deduction and a possible TV ban help explain the 77% duopoly and why the smallest licensees have shrunk.

ENFORCEMENT

Massachusetts protects its licensed perimeter aggressively: a Superior Court ruled 20 January 2026 that Kalshi may not offer sports contracts to residents.

- AG Andrea Campbell sued Kalshi in autumn 2025; federal-preemption defence rejected; Kalshi appealing; 38 state AGs filed in support in April 2026.
- IEB monitors casino operations in real time and briefed the Commission on Encore staffing and closures; MGC publishes operator-level figures monthly.
- Good for incumbents' share, hostile to grey-market strategies (sweepstakes, prediction markets); political temperature has moved from expansion to harm-reduction since 2024.

POLITICAL DIRECTION

The 2027-28 session will reopen every variable at once — rate, product scope, advertising and whether online casino is a Lottery or commercial franchise.

- Legislature killed iGaming and advanced a 51%-tax/prop-ban bill through committee in the same month.
- Treasurer's online lottery product is tracking at more than double its plan; the AG is the national lead against prediction markets.
- MGC is layering behavioural obligations on operators; none of this changes the 2026 rulebook.

RULES AND ENFORCEMENT SNAPSHOT (STATUS AS OF 2 NOV 2026)	RULE / ACTION	STATUS	SCOPE & NUMBERS	SOURCE BASIS
Minimum age	In force	21+ casinos, sports wagering, online lottery; 18+ retail lottery	c.23K / c.23N; Lottery launch statements	
Credit-card funding of sports accounts	Prohibited	Debit, ACH, e-wallet, prepaid only	c.23N [not re-verified today]	
Promotional credit deduction from taxable revenue	Not allowed	20%/15% applies to gross receipts less winnings and federal excise	MGC glossary; LSR	
Public Health Trust Fund funding	In force	9% of sports tax = $1.28M Sep-26 (~$15.7M TTM) plus share of casino tax	MGC press release 26-037	
Advertising (205 CMR 256)	In force	No under-21 targeting; no 'risk-free' language; affiliate compensation limits; 21+ on stadium signage	MGC regulation [not re-read today]; LSR	
Bet on Respect (athlete harassment)	Launched 31 Aug 2026	Operator obligations re: bettors harassing athletes [detail not reviewed]	MGC press release 26-032	
Prediction markets (Kalshi)	Blocked by court order 20 Jan 2026; under appeal	AG suit; 38 AGs amicus (Apr 2026)	Mass.gov AG statement; Reuters/Daily Record	
S.302 Bettor Health Act	In Senate Ways & Means; no floor vote reported	51% mobile tax; prop/in-play ban; TV ad ban; affordability checks; limits	SBC Americas, WBUR, LSR	
Encore labour dispute	Strike since 4 Sep 2026; ongoing late Oct	~1,300–1,350 workers; GGR -22.1%; tax $11.5M (5.5-yr low)	WGBH; Focus GN; MGC	
Voluntary self-exclusion / GameSense / PlayMyWay	In force	Statewide VSE covering casinos & sports; GameSense at all 3 casinos	MGC programmes [background]	

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Structural hold expansion: taxable sports revenue +36.0% YoY on handle -3.4%; MGC hold 9.39% in September and 10.2% CY2026 YTD on a taxable basis — same-game-parlay mix is lifting unit economics for any operator with a competitive parlay product, and the state's 20% take rises with it. structural
- The Lottery's online channel is the fastest-ramping iLottery in US history by its own account — $183M of September sales, ~$500M in three months against a $1.2bn year-one plan, $137M of August's $139.4M in eInstants — creating a live B2B market for casino-style content (new titles every two weeks) and, at contract renewal, platform competition against Aristocrat Interactive. structural
- Transparent, stable fiscal regime: GGR-based taxes at 25%/49%/15%/20%/15%, operator-level monthly disclosure, ~$3.07bn of cumulative casino and sports taxes and $511M in the last twelve months — a revenue-dependent Commonwealth that has every incentive to protect the licensed perimeter (Kalshi order, DFS inside the tax net). structural
- Sub-scale incumbents are potential entry vehicles: Bally Bet (0.5% of handle), theScore Bet (2.4%, handle -24.7% YoY) and Caesars (3.1%) hold scarce Category 3 licences in a market capped at seven; with first renewals due around 2028, licence M&A or a tethered Category 1/2 skin is the only realistic B2C door. mixed
- The iGaming conversation has formally started: a drafted chapter 23O (casino-operator licensing) exists, the sponsor will refile in 2027-28, and the Lottery's demand data will make the size of the online casino prize undeniable — early positioning with the three casino licensees (the only parties the draft would license) is the way to be in the room. early
- Encore's strike is a one-off with a silver lining for the online debate: it exposes the fragility of land-based tax flows (Encore supplies ~48% of casino tax) and weakens the cannibalisation argument that has historically blocked iGaming; MGM Springfield and Plainridge are stable (+4.7% / +4.2% coin-in). one-off

▼ LOWLIGHTS

- A 77% duopoly in a 20%-tax, no-promo-deduction market: DraftKings 50.8% / FanDuel 26.0% of September online handle (79.5% of CY2026 taxable revenue between them), Fanatics under 10%, everyone else shrinking — customer acquisition economics for a challenger are among the worst in the US. structural
- Live fiscal and product risk: S.302 (51% mobile tax, prop and in-play ban, TV ad blackout, affordability checks) passed committee 5-0 and sits in Senate Ways & Means; a refile in 2027 with a sponsor who has publicly recanted his 2022 vote is near-certain, and the land-based strike plus Lottery success give the Legislature cover to squeeze online sports. governance
- Closed licensing on every axis: three casino licences with Region C stalled, seven Category 3 mobile licences all taken, no Category 2 track books live, commercial iGaming sent to study until 2027-28 and the Treasurer pre-empting it with state-run eInstants. structural
- Encore Boston Harbor strike: GGR -22.1% to $46.06M, slot coin-in -20.3%, tax $11.5M (5.5-year low), all company-run restaurants closed, parties 'far apart' as of 22 October; October will carry a full-month hit and CY2026 casino GGR is now likely to post its first post-pandemic decline (analyst estimate $1.14–1.16bn vs $1.17bn TTM). one-off
- Revenue volatility on a flat base: handle has not grown year-on-year in September for two years (-3.4% vs 2025) while taxable revenue swung from $73.5M (2024) to $52.3M (2025) to $71.2M (2026) purely on hold; negative months are carried forward, not refunded, and retail books have gone to zero taxable revenue in some months. watch
- Lottery cannibalisation and backlash: September retail Lottery sales -$54.8M and scratch -7.3%, retail profit -$12.6M, 2,000-plus-agent retailer network with $337M of annual commissions at stake, and national criticism of eInstant design aimed at younger players — a plausible trigger for tighter online-lottery rules that would also shape any commercial iGaming framework. watch
- Compliance load is rising: 205 CMR 256 advertising limits, affiliate-compensation restrictions, the Bet on Respect harassment initiative, MGC scrutiny of bettor limiting and a statewide VSE regime — manageable for incumbents with scale, a disproportionate fixed cost for a sub-5%-share entrant. structural

9 FORECAST & OUTLOOK

Guidance bridge. The September bridge against September 2025 is simple: combined casino-plus-sports taxable revenue moved from $148.0M to $153.9M (+4.0%) because a $13.1M strike-driven hole at Encore (MGM and Plainridge netted +$0.06M) was more than filled by an $18.8M hold-driven gain in sports wagering revenue on $27.5M less handle. Neither driver is structural in the sense an operator would want: the casino loss reverses when the strike settles, and the sports gain reverses the next time favourites cover. Looking out 12–24 months the regulatory bridge matters more than the revenue bridge — the 2027-28 session will decide whether online casino becomes a casino-tethered commercial franchise (c.23O refile) or stays a Lottery monopoly, and whether mobile sports is taxed at 20% or 51% with props intact or banned.

SEP-25 COMBINED TAXABLE REVENUE (CASINO GGR + TSWR)	ENCORE BOSTON HARBOR STRIKE (GGR $59.1M → $46.1M); MGM/PPC NET +$0.1M	SPORTS WAGERING: HOLD 6.5% → 9.4% ON HANDLE -$27.5M (TSWR $52.3M → $71.2M)	SEP-26 COMBINED TAXABLE REVENUE (TAX $38.41M, +1.6%)
$148.0M	**-$13.0M**	**+$18.8M**	**$153.9M**
base	one-off, continues into Oct-26	hold-driven, volatile	+4.0% YoY

Independent view. Casino: CY2026 GGR of roughly $1.14–1.16bn (estimate) versus a $1.17bn trailing run-rate, the exact figure a function of strike duration; a settlement in Q4 restores a ~$95–100M monthly base but does not add growth, and Region C remains dormant. **Sports**: CY2026 handle of ~$8.3–8.6bn (estimate; YTD $5.99bn through September with Q4 the seasonal peak — Nov-25 alone was $915M) and taxable revenue of ~$850–900M at a 9.5–10.5% structural hold, implying ~$170–180M of state tax; volume is flat, so revenue growth is entirely hold and product mix. **Lottery**: first-year online sales comfortably above the $1.2bn plan — $1.6–2.0bn on the current $150–185M monthly run-rate (estimate) — with retail scratch erosion of 5–8% and flat total profit, which is exactly the outcome that makes a state-run model politically self-reinforcing. **Rules**: the 2026 rulebook will not change before the new session convenes in January 2027; the probability-weighted 2027-28 outcome in our view is a mobile sports tax rate above 20% (a compromise in the 30–35% range is more plausible than 51%, which would be an outlier among large-state markets outside New York), a narrowing of prop/in-play scope rather than a ban, tighter advertising, and no commercial iGaming licence before 2028 at the earliest, with the casino licensees the only eligible parties if it comes. **Leverage for an entrant** is therefore low on the B2C side and rising on the B2B side: Lottery eInstant content, sportsbook technology and risk/trading services to incumbents, and optionality on a Category 3 licence acquisition ahead of the ~2028 renewal cycle.

What to watch next quarter:

- MGC October 2026 revenue report (due ~20 Nov 2026): first full-month strike impact at Encore, whether MGM Springfield and Plainridge pick up any diverted play, and Q4 sports handle versus the $892M–$915M October–November 2025 comparators.
- Encore Boston Harbor labour settlement — timing, wage outcome and any MGC follow-up on licensee obligations; a Wynn concession on a $25/hr base would reset cost structures across all three properties.
- Senate Ways & Means action on S.302 before the session formally expires in early January 2027, and the shape of the Keenan and Muradian (c.23O) refilings in the 2027-28 session; watch for a House Ways & Means counter-proposal pairing a tax rise with iGaming.
- Kalshi's appeal of the 20 Jan 2026 Superior Court order and any CFTC/federal developments on sports event contracts — a reversal would reopen an untaxed channel; an affirmance entrenches the licensed perimeter.
- Lottery monthly reporting: online sales run-rate versus the $1.2bn year-one plan, retail scratch decline, retailer-network reaction and whether the Treasurer tightens eInstant design or deposit rules in response to problem-gambling criticism.
- MGC rulemaking under Bet on Respect and on bettor limiting / affiliate marketing, plus the ~2028 Category 3 renewal cycle — the first point at which licence capacity could change hands or lapse.
- Any movement on Region C / the Mashpee Wampanoag Taunton project and on a Category 2 retail book at Raynham Park or Suffolk Downs — both low-probability but the only land-based or tethered-skin capacity additions available.

DATA CONFIDENCE: HIGH HIGH for all September 2026 casino, sports wagering and DFS figures, which were read directly from the MGC September 2026 Revenue Report and Press Release 26-037 (operator-level handle, win, hold, taxable revenue, tax; Oct-25–Sep-26 monthly series; Sept-20–Sept-26 comparators); YoY/MoM/YTD/TTM percentages and the combined totals were computed from those tables. Secondary outlets differ slightly (Gaming Intelligence $83.1M/-14% for casinos; Bettingnews +34% for sports revenue) — the MGC figures are used. MEDIUM for Lottery figures: FY2026 numbers are the Lottery's preliminary estimates (final by September) and the August/September 2026 online and retail figures are Lottery Commission statements reported by State House News Service/WBUR/Boston Globe/PGRI rather than a published Lottery statistical release. Statutory and regulatory detail not re-read today and flagged in text as such: Category 1/2 casino licence fees and terms ($85M/$25M, 15-yr/5-yr), the $5M five-year sports licence fee and seven-licence Category 3 cap, the credit-card funding ban and 205 CMR 256 advertising/affiliate provisions. Unverified as of 2 Nov 2026: the final status of S.302 after formal sessions ended 31 Jul 2026, the status of Kalshi's appeal, the detailed content of the MGC's Bet on Respect initiative, Treasurer Goldberg's reported ~$70M online-lottery profit target, and whether any Category 1 tethered-skin slots are currently vacant. CY2026 full-year casino GGR, sports handle/revenue and Lottery year-one online sales ranges in the forecast are analyst estimates, labelled as such. FX: Massachusetts reports in USD; no currency conversion required.

Sources: [Primary] Massachusetts Gaming Commission — Press Release 26-037: September 2026 Casino and Sports Wagering Revenue (20 Oct 2026) [primary]; [Primary] Massachusetts Gaming Commission — September 2026 Revenue Report (operator-level casino, sports wagering, DFS; monthly and YoY tables) [primary]; [Primary] Massachusetts Gaming Commission — Revenue page (tax rates, per-licensee reports, allocation of taxes, DFS report links) [primary]; [Primary] Massachusetts Gaming Commission — Press release archive (incl. 26-032 'Bet on Respect', 31 Aug 2026; 26-033 August revenue) [primary]; [Primary] Massachusetts Gaming Commission — Notice of Meeting and Agenda, 8 Oct 2026 (Encore Boston Harbor Q2 2026 quarterly report) [primary]; [Primary] Office of the Attorney General (Mass.gov) — AG Campbell secures court order blocking Kalshi sports wagers in Massachusetts [primary]; [Primary] Massachusetts State Lottery FY2026 results release (reproduced by Public Gaming Research Institute, Jul 2026) [primary release via secondary host]; [Secondary] GBH News — State gaming tax revenue from Encore hits 5-year low amid ongoing strike (22 Oct 2026) [secondary; MGC meeting coverage]; [Secondary] Focus Gaming News — Encore Boston Harbor tax revenue falls in September (23 Oct 2026) [secondary]; [Secondary] Focus Gaming News — Massachusetts issues September 2026 gaming revenue (23 Oct 2026) [secondary]; [Secondary] Gaming Intelligence — Massachusetts casino revenue drops by 14% in September on strike action (23 Oct 2026) [secondary; paywalled]; [Secondary] WBUR / State House News Service — Scratch and sniff: scented offering eyed to lift sagging scratch ticket sales (28 Oct 2026; September Lottery online/retail figures) [secondary]; [Secondary] WBUR / SHNS — Sales approach $140 million in first month of Mass. Lottery online (23 Sep 2026) [secondary]; [Secondary] GBH News / SHNS — Online lottery draws 23,000 new accounts, $110M in bets (25 Aug 2026) [secondary]; [Secondary] Gaming Intelligence — Massachusetts launches Mass Lottery Online (28 Jul 2026) [secondary]; [Secondary] CDC Gaming — Massachusetts online lottery records $1.6 million handle on debut day (30 Jul 2026) [secondary]; [Secondary] Berkshire Eagle / SHNS — Record prize payouts trim state lottery profit to $1.045 billion (Jul 2026) [secondary]; [Secondary] Boston.com — Massachusetts online casino bill sent to study, effectively shelved for now (17 Mar 2026) [secondary]; [Secondary] SBC Americas — Massachusetts committee approves bill to tax sports betting at 51% (10 Mar 2026) [secondary]; [Secondary] WBUR — Could Mass. ban prop bets? Beacon Hill proposal for new sports betting limits (10 Mar 2026) [secondary]; [Secondary] WBUR — DraftKings, sportsbooks target statehouse races as Mass. and others propose stricter betting rules (28 May 2026) [secondary]; [Secondary] WWLP / SHNS — Senators advance bill banning in-play, prop sports bets (10 Mar 2026) [secondary]; [Secondary] Legal Sports Report — Massachusetts sports betting: legal sportsbooks & legislation updates (tax rates, promo rules, S.302 status; updated Oct 2026) [secondary]; [Secondary] The Daily Record / Reuters — Kalshi cannot operate sports-prediction market in Massachusetts, judge rules (20 Jan 2026) [secondary]; [Secondary] BetMassachusetts — MA sportsbooks report $773 million handle

in September 2026 [secondary]; [Secondary] Bettingnews — Massachusetts sports betting revenue rises 34% in September [secondary; growth figure differs from MGC-derived +36.0%]; [Secondary] Bookmakers Review — Massachusetts Lottery expansion threatens iGaming prospects (Jul 2026; Treasurer's reported ~$70M online target and iGaming stance) [secondary; low weight].

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